

Busted occurrence. I sorted the number of busts into one, two, or more than two busts (triple+). Single busts happen most often. Notice that triple+ busts place second after a downward breakout. I've seen this in other patterns, too.

Busted and non-busted performance. Look at the performance after a single busted downward breakout: Broadening patterns see price rise an average of 60%. When I read that, my jaw swung open, my dentures fell out, and I had to pick them up off the carpet. Single busts also outperformed after a busted upward breakout.

The 60% number is so startling that if you can find a busted downward breakout, then *do* consider trading the pattern.

Non-busted patterns seem to have the edge (and it's slight) on performance if you disregard the single busted patterns and downward breakouts.

Trading Tactics

[Table 10.10](#) outlines trading tactics for descending broadening formations.

Measure rule. [Figure 10.7](#) illustrates the use of the measure rule. Compute the broadening pattern's height by first taking the difference between the highest high (A, 49.50) and the lowest low (B, 43.50). Add the result (6) to the value of the horizontal trendline to get a target price of 55.50 (for an upward breakout). Price reaches this target during mid-March 1996 as the stock climbs on its way to 60.

If the stock breaks out downward, the measure rule computation is nearly the same. Subtract the pattern's height from the lowest low, giving a target price of 37.50. Be aware that upward breakouts in bull markets are more likely to reach their targets (65%) than other combinations.

The lower portion of the table shows how often price will reach the target based on various heights. For example, if you slice the height of the pattern in half and use that in the measure rule computation, you'll find price will reach the target 82% of the time if your pattern behaves like the average pattern.

Once you've computed a target, change the difference between the target and the current price into a percentage of the current price. Then use [Table](#)